

NovaTech Solutions: Q3 2024 Investor Report

CEO Message

Dear Shareholders, Q3 2024 has been a transformative quarter for NovaTech Solutions. Despite macroeconomic headwinds, we delivered strong results across all business units and made significant progress on our strategic roadmap for 2025. We remain confident in our long-term growth trajectory.

Financial Highlights

Total revenue for Q3 2024 reached \$847 million, representing 22% year-over-year growth. Gross margin improved to 68.4% from 65.1% in Q3 2023. Operating expenses increased by 14% due to planned R&D; investment. Net income was \$124 million, up 31% compared to the same period last year.

Business Unit Performance

The Cloud Services division led growth with 38% revenue increase, driven by enterprise contract renewals and new customer acquisition in APAC markets. The Hardware segment declined 6% due to ongoing supply chain normalisation. Professional Services maintained steady 11% growth supported by digital transformation mandates among Fortune 500 clients.

Risk Factors

Key risks include continued regulatory scrutiny in the EU under the Digital Markets Act, currency headwinds from USD strengthening against EUR and JPY, and potential margin compression from increased competition in the mid-market cloud segment. Management has implemented hedging strategies to mitigate currency exposure.

Outlook

For Q4 2024, management guides revenue in the range of \$880-910 million. Full year 2024 revenue guidance is raised to \$3.2-3.3 billion. The board has approved a \$200 million share buyback programme to commence in January 2025, reflecting confidence in the company's financial position and future prospects.